Audio file

Australia_s_Mandatory_Climate_Reporting_Framework 1.m4a

Transcript

Welcome to this deep dive. Today's mission is, well, it's an academic briefing for you, the university student listening right now.

Yeah, we are unpacking a massive shift, Australia's new mandatory climate related reporting framework.

Exactly. And we're pulling from official documents from the AASB, ASIC, and the Commonwealth Treasury. But, okay, let's unpack this with a university analogy, because keeping these regulators straight is half the battle.

Right, it can get a bit muddy.

Yeah. So think of the Commonwealth Treasury as the syllabus. They write the actual legislation and set the thresholds.

Okay, I like that.

Then you have the AASB, which creates the AASB S2 standard. That's your textbook. It tells you how to actually do the work.

Right, the technical blueprint.

And finally, ASIC enforces the compliance via Regulatory Guide 280. So they are the strict professor grading your final exam.

That is a great analogy. And understanding the separation of powers is, it's absolutely critical for analyzing corporate compliance.

Why is that?

Because it shows that climate risk is no longer just, you know, an environmental or PR issue. Having these three heavyweights involved makes it a strict, legally binding financial liability.

Oh, wow. Okay. So now that we know who the professors are, who exactly has to take this exam? Like Are local coffee shops going to be buried in paperwork right away?

No, definitely not. The Treasury established this two of three size test to figure out who gets captured.

Two of three. Got it. What are the three criteria?

It's consolidated revenue, gross assets, and employee count. If a company hits at least two of those, they are on the hook.

Okay, so when does this all start?

There are three phased implementation dates. Group 1 starts on January 1, 2025.

That's practically tomorrow. Who is in Group 1?

The absolute giants. We are talking entities with over $500 million in revenue, over 1 billion in assets, or 500 plus employees.

Massive corporations, right?

Exactly. Then it cascades down. Group 2 begins July 1st, 2026, and Group 3 starts July 1st, 2027.

And group 3 steps the thresholds down, right?

Yeah, way down. It drops to capture entities with just 50 million in revenue, 25 million in assets, or 100 employees. What's fascinating here is how strategic this is.

How so?

It captures the largest polluters first, but it gives the smaller entities time to prepare because, I mean, the math required by the AASBS 2 standard is brutal.

So the heavyweights have to figure out the infrastructure first.

Right, they test the waters so the smaller players aren't completely drowning on day one.

Here's where it gets really interesting. Once those deadlines hit, what exactly is required in the textbook? Like what's in the AASB S2 standard?

It rests on 4 mandatory disclosure pillars. First is governance. So like who on the board actually has the expertise to oversee this?

Right, not just a vague statement.

Exactly. Second is strategy. You have to map out how climate impacts the actual business model over the short, medium, and long term.

Okay, makes sense.

Third is risk management, which is how you identify those risks. is metrics and targets.

Wait, On those metrics, are companies just allowed to guess their future climate risks to look good? Because I could see a lot of greenwashing happening there.

No, absolutely not. The standard mandates strict climate-related scenario analysis. No guesswork is allowed.

So it's backed by hard science.

Legally, yes. They have to assess their resilience against a low warming scenario, which is 1.5 degrees Celsius, and a high warming scenario of well over 2 degrees.

But how does ASIC actually police that? Like if a company's 1.5 degree scenario relies on some unproven futuristic carbon capture tech, is that allowed?

No, ASIC made it very clear in Regulatory Guide 280, the underlying assumptions have to be reasonable and supportable. You cannot just invent magic technology to make your math work.

Wow. Okay, so bringing this all back to you, the student listening. Why should you care about these four pillars and the face-ins?

Well, if we connect this to the bigger picture, this is a fundamental shift in Australian market transparency. As a student entering the workforce, mastering this framework gives you a massive advantage.

Yeah, whether you're going into finance, law, or business, this is the new reality.

Absolutely.

So what does this all mean in the long run? Because there's a catch here. If those mid-sized group 3 companies eventually have to report their scope 3 emissions.

Which means their entire value chain.

Right, their whole supply chain. How soon until those tiny non-reporting mom and pop suppliers are forced to track their own carbon footprint just to keep their corporate contracts?

It's coming.

It's a huge ripple effect. Definitely something provocative to think about as you study for your exams. Good luck.